WHITE PAPER

Getting Period Close Right in Oracle Fusion Cloud

Why account reconciliation and period close make or break your month end, and how to bring them under control

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Executive summary

For any organisation running Oracle Fusion Cloud, the financial close is where accuracy, compliance and operational discipline are tested every single month. The system is more than capable. What slows teams down is rarely the technology. It is the absence of a clear, repeatable close process, gaps in user knowledge, and a habit of falling back on manual workarounds when something does not reconcile.

This paper looks at why account reconciliation and period close are harder than they should be, what it costs an organisation when they go wrong, and the practical steps that bring the close back under control. The single most effective of those steps is also the simplest: a structured, Oracle specific period close checklist that walks the finance team through each task in the right order, every time.

Why reconciliation and period close are so challenging

In a large organisation the close involves matching thousands of transactions across departments, subsidiaries and often several countries. Data arrives from many directions at once: bank accounts, supplier ledgers, customer ledgers, intercompany activity and inventory movements. Each of these has to be matched and balanced before the books can close. Miss one discrepancy and the close slips, or worse, the period is closed on numbers that are not right.

The reconciliation areas that cause the most pain

- Accounts Payable. Supplier invoices have to be matched against payments and purchase orders. A mismatch between the supplier control account and the actual supplier balances delays payments and distorts the financial statements.
- Accounts Receivable. Customer receipts have to line up with outstanding invoices. Errors here mean revenue is misstated or customers are chased for amounts they have already paid.
- Accruals. Accrued expenses and revenues have to be matched to their actuals. Get this wrong and reported performance is wrong with it, usually surfacing as painful manual corrections at year end.

The move to the cloud is an opportunity, not a guarantee

Moving to Oracle Fusion Cloud is the right moment to redesign and tighten these processes. It is also where new problems get baked in if the setup is rushed. If the Procure to Pay or Order to Cash flows are not aligned with the way the system actually posts, the result is incorrect invoices, delayed payments and reconciliation differences that are hard to unwind later. Strong oversight of the end to end cycles from the start of the implementation is the most reliable way to avoid this.

Manual workarounds fill the knowledge gap

When a finance team has not been trained on the automated tools Oracle Fusion provides, they default to what they know: manual journals, spreadsheets and side calculations. A team might spend days reconciling bank transactions by hand because no one showed them the automated matching that does it in minutes. The cost is long hours, inconsistent data and a close that drags into the middle of the following month.

What it costs when the close goes wrong

The consequences are not abstract. They show up in the numbers, in the audit, and in the decisions leadership makes on the back of both.

- Financial inaccuracy. Accounts that are not reconciled properly produce statements that are simply wrong, which misleads everyone who relies on them.
- Cash flow blind spots. When receivables and payables are not reconciled accurately, cash flow projections drift and liquidity decisions are made on shaky ground.
- Compliance and audit exposure. Inaccurate reporting risks non compliance with standards such as IFRS, and discrepancies in the records invite a qualified audit opinion.
- Fraud risk. Weak, irregular reconciliation leaves room for unauthorised transactions to go unnoticed.
- Slow, costly decisions. A close that runs to the fourteenth or fifteenth of the month means leadership is steering the business on information that is already two weeks stale.

How to bring the close under control

The fix is a combination of better process, better use of the tools already paid for, and a team that knows how to use them. In practice it comes down to five moves.

1. Optimise the process, with expert input

Make sure Oracle Fusion is configured correctly and that every integration point is clearly defined. Redesign the close process so it fits the way the cloud actually works rather than carrying forward old habits from a legacy system.

2. Automate the routine reconciliations

Let the system match transactions across ledgers automatically and use its dashboards to spot issues in real time, before they grow. Automation frees the team to spend its time on the judgement calls that actually need a human.

3. Work to a structured close checklist

This is the heart of a controlled close. A period close checklist guides the team through every task in the correct sequence: completing transactions, running Create Accounting, transferring to the General Ledger, running the Subledger Period Close Exceptions Report, reconciling each control account, and only then closing the period. It enforces the dependencies between modules, so Cash Management is reconciled before Receivables closes, Payables is settled before the subledgers close, and the General Ledger closes last. Paired with an issue log that records recurring problems, it turns a stressful scramble into a repeatable routine.

The real value of a close checklist and issue log shows up the day the person who always ran the close leaves the organisation. **A well built checklist is how the knowledge stays behind and the next person closes the books with confidence.**

4. Use both standard and custom reporting

Oracle Fusion ships with a strong set of standard reconciliation reports, and they should be the backbone of the close. Where a business has needs the standard reports do not cover, targeted custom reports and dashboards fill the gap, giving leadership a view tailored to their sector, whether that is inventory reconciliation for a manufacturer or client level metrics for a services firm.

5. Invest in the team

None of the above sticks without training. A team that understands the automated tools stops reaching for manual workarounds, makes fewer errors, and keeps the close on schedule month after month.

Why this matters to the people who sign off the numbers

For CFOs and financial controllers, a clean and timely close is not a back office nicety. It is the foundation of accurate reporting, regulatory compliance and sound decision making. By addressing the root causes of reconciliation failure, namely poor configuration, reliance on manual processes and gaps in training, an organisation gets a faster close, a cleaner audit and financial information it can actually trust.

A structured period close checklist is the most direct way to start. It is low cost, it works from the first month, and it captures the hard won knowledge of how this particular close should run so the organisation never has to learn it twice.

About ERP Finance Pro

ERP Finance Pro builds practical Oracle Fusion Cloud accelerators for finance teams, including the Oracle Fusion Cloud Period Close Accelerator, a ready to use, configurable checklist covering twelve Financials and Supply Chain modules. *To learn more, get in touch.*

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